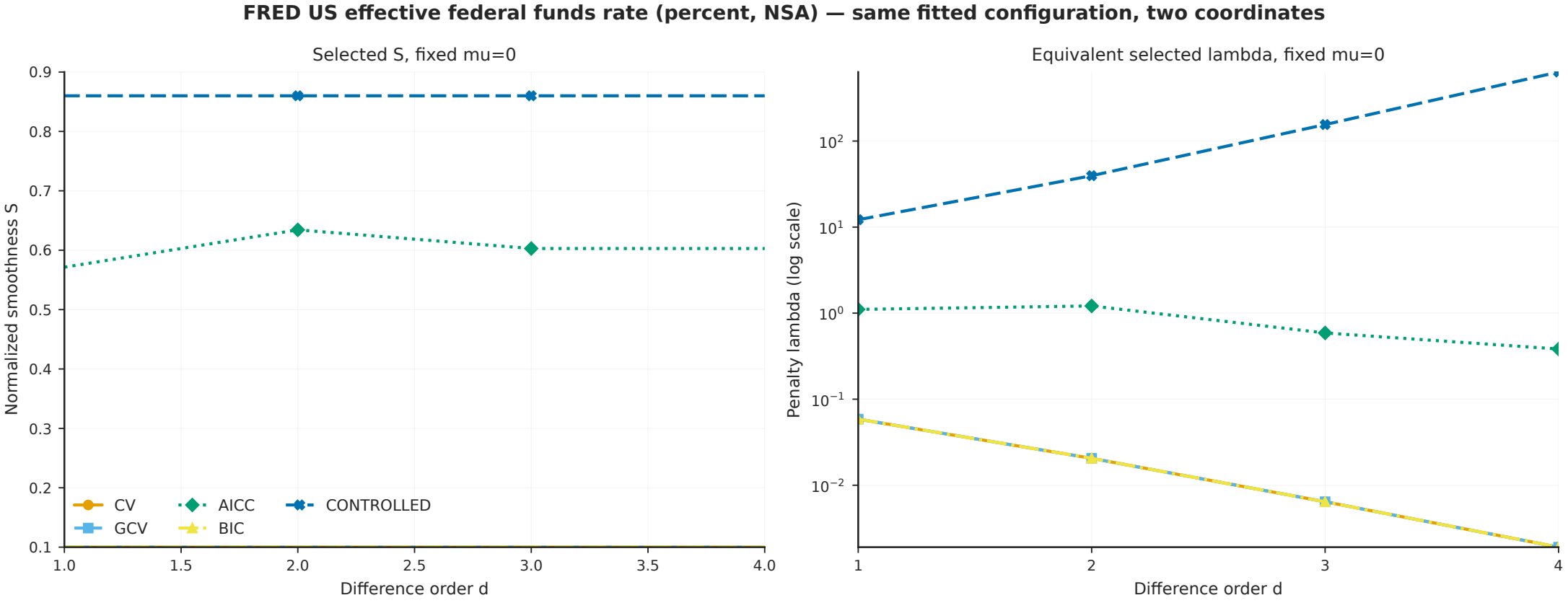
FRED US effective federal funds rate (percent, NSA) — same fitted configuration, two coordinates
Selected S, fixed mu=0
Normalized smoothness S
0.9
0.8
0.7
0.6
0.5
0.4
0.3
0.2
0.1
CV
GCV
AICC
BIC
CONTROLLED
1.0
1.5
2.0
2.5
3.0
3.5
4.0
Difference order d
Equivalent selected lambda, fixed mu=0
Penalty lambda (log scale)
$10^{2}$
$10^{1}$
$10^{0}$
$10^{-1}$
$10^{-2}$
1
2
3
4
Difference order d